

SUBCONTRACT AGREEMENT

WOOD FRAMING · LABOR ONLY

Rodriguez Residence | Oak Valley Estates Lot 5 | Kanarraville, UT 84742

Contract Date

_____, 2026

Owner

ARJR Kanarraville Holdings, LLC

General Contractor

RAC Inc. | Craig Engel | 1267 N. 1390 W., St. George, UT 84770

Subcontractor

Cherotech Construction LLC | Greg Bateman | 435-212-1998 | Batemangregray@gmail.com

Contract Amount

\$75,000.00 (Seventy-Five Thousand Dollars)

Start Date

May 19, 2026

UT License No.

13950801-5501 · Must be Active at execution (see Section 9)

1. Scope of Work

Subcontractor shall furnish all labor, supervision, tools, equipment, and nails necessary to perform complete wood framing for the Rodriguez Residence per the Contract Documents listed below. All materials (lumber, sheathing, connectors, fasteners other than nails, LVL/PSL members) are furnished by the General Contractor.

All wood wall framing per Structural Plans S1-S6 (Rosenberg Engineering, Job #14040-25)

Floor truss installation (trusses supplied by GC)

Roof truss installation and blocking (trusses supplied by GC)

Wall sheathing: 1" OX Board, all exterior walls

Floor sheathing: 1.125" Huber Advantec T&G, glued and screwed

Roof sheathing: 5/8" CDX plywood per Sheet A106

All headers, LVL/PSL beams, and rim boards per structural schedule

Shearwall construction per Sheets S4-S5

All Simpson connectors, straps, and holdowns per plans

Blocking for cabinets, fixtures, and railings

Fire blocking per 2021 IBC/IRC

Temporary bracing throughout construction

Coordination with steel contractor for moment frame connections

Plans available at: <https://drive.google.com/drive/folders/1kS-2awScLdAnGS973xD0D28Rxynl49Si>

2. Exclusions

All lumber, sheathing, LVL/PSL members, and structural connectors (furnished by GC)

Steel beams and columns (by separate steel contractor)

Floor and roof trusses (supplied by GC; installation by Subcontractor)

Concrete and foundation work

Exterior siding, trim, roofing, windows, and doors

3. Contract Amount and Payment

Total Contract Amount: \$75,000.00 (Seventy-Five Thousand Dollars), labor and nails only.

Subcontractor shall submit a monthly progress invoice on or before the last day of each calendar month. Each invoice shall describe the work completed during that billing period and the corresponding percentage of the total contract value. General Contractor shall review, approve, and pay each invoice within thirty (30) days of receipt.

Payment amounts shall reflect actual percentage of work completed as jointly agreed by the General Contractor and Subcontractor at the time of invoicing. A ten percent (10%) retention shall be withheld from each monthly payment and released upon final completion, punchlist sign-off, and passing of all required framing inspections.

All invoices shall be submitted in writing (email acceptable) to: racinc16@gmail.com. Invoices must include: (1) invoice number and date, (2) billing period, (3) description of work completed, (4) percentage complete to date, (5) amount billed this period, and (6) total billed to date.

4. Schedule

Subcontractor shall commence work on May 19, 2026, subject to site readiness and written Notice to Proceed from the General Contractor. Subcontractor shall maintain continuous progress without unauthorized stoppage. Any delays caused by the Subcontractor may result in liquidated or actual damages at the General Contractor's election.

5. Changes and Change Orders

No extra work or changes to the Scope of Work shall be performed without prior written authorization from the General Contractor. Work performed without written approval will not be compensated. Subcontractor shall submit a written cost proposal for any change within five (5) business days of request.

6. Site Conditions and Responsibilities

Subcontractor shall verify all dimensions in the field prior to framing. Discrepancies must be reported in writing immediately.

Daily cleanup required. Dumpster and porta-john are provided by the General Contractor.

Subcontractor is responsible for layout from established benchmarks.

All work shall comply with the 2021 IBC, 2021 IRC, and Iron County and State of Utah amendments.

Subcontractor shall coordinate and be present for all Iron County framing inspections.

Subcontractor shall comply with all applicable OSHA regulations and maintain a safe worksite.

7. Insurance Requirements

Prior to commencing any work, Subcontractor shall obtain and maintain:

Commercial General Liability: \$1,000,000 per occurrence / \$2,000,000 aggregate

Workers' Compensation: As required by Utah state law

RAC Inc. and ARJR Kanarraville Holdings, LLC shall be named as additional insureds on the CGL

policy

Certificates of Insurance must be delivered to General Contractor before mobilization

8. Indemnification

Subcontractor shall indemnify, defend, and hold harmless RAC Inc., ARJR Kanarraville Holdings, LLC, and their officers, employees, and agents from and against any and all claims, damages, losses, and expenses, including attorney's fees, arising out of or resulting from the Subcontractor's performance of work under this Agreement, to the extent caused by the negligent acts or omissions of the Subcontractor or its employees.

9. Contractor Licensing Obligation

Subcontractor represents and warrants that it holds a valid, current Utah contractor's license in the appropriate classification for work described herein. Utah License No. 13950801-5501 (Cherotech LLC, S220 Carpentry & Flooring, Qualifier: Jaden Craig Barlow) is on file; however, records indicate this license expired November 30, 2025.

As a CONDITION PRECEDENT to execution of this Agreement and commencement of any work, Subcontractor shall:

Renew License No. 13950801-5501 (or obtain a replacement license) with the Utah Division of Professional Licensing (DOPL)

Provide General Contractor with a current license verification printout from dopl.utah.gov confirming Active status, dated within thirty (30) days of contract execution

Maintain the license in Active status for the full duration of the project

Immediately notify General Contractor in writing if the license expires, lapses, or is suspended at any time during the project

Failure to provide proof of a current, active Utah contractor's license prior to mobilization shall entitle General Contractor to withhold all payments and terminate this Agreement for cause. Work performed under an expired or lapsed license shall not be compensated and may be required to be removed and re-performed at Subcontractor's sole expense.

10. Termination

General Contractor may terminate for cause upon written notice if Subcontractor: (a) abandons the work; (b) fails to maintain required insurance or licensing; (c) performs defective work and fails to remedy within five (5) days of notice; or (d) becomes insolvent. General Contractor may complete the work by other means and charge any additional costs to Subcontractor.

General Contractor may terminate for convenience upon seven (7) days' written notice, in which case Subcontractor shall be compensated for work satisfactorily completed to the date of termination.

11. Dispute Resolution

Disputes shall first be subject to good-faith negotiation. If unresolved within thirty (30) days, disputes shall be submitted to binding arbitration under AAA rules in Iron County, Utah. The prevailing party shall be entitled to recover reasonable attorney's fees and costs.

12. General Provisions

This Agreement is the entire agreement between the parties and supersedes all prior representations and negotiations.

Governed by the laws of the State of Utah.

No assignment or sub-subcontracting permitted without prior written consent of General Contractor.

Subcontractor is an independent contractor and not an employee of RAC Inc.

13. Signatures

By signing below, both parties agree to the terms and conditions of this Subcontract Agreement.

GENERAL CONTRACTOR:

RAC Inc.

Signature: _____

Name: Craig Engel

Title: General Contractor

Date: _____

SUBCONTRACTOR:

Cherotech Construction LLC

Signature: _____

Name: Greg Bateman

Title: _____

Date: _____

UT License No.: 13950801-5501

Active Status Verified: ____ Yes (attach DOPL verification)